Second, a market exists for both producers and consumer goods. Even services like banking, transport and trade are dependent on production of industrial goods.

Third, by using modern methods of production, industries contribute to better productivity and hence lower cost of production of all goods produced. It therefore helps people to buy goods at a cheaper rate and help create demand for more products.

Fourth, through such expansion of production, industrialisation helps to absorb the labour force coming out of agriculture. Employment generation is therefore an important objective of industrialisation.

Fifth, a related advantage of industrialisation is therefore technological change. Through use of modern techniques, industrialisation contributes to learning of such methods and their improvement. As a result labour productivity, ie, output per unit of labour input increases, which can help workers earn higher wages.

Sixth, expanding incomes lead to more demand for goods and services.

## 5.2 Types of Industries

Industries can be classified on the basis of

(a) **Users**: If the output is consumed by the final consumer, it is called a consumer goods sector. If the output is consumed by another producer, it is called a capital goods sector. There are industries that produce raw materials for other industries such as cement and steel. Such industries are called basic goods industries.

(b) **Type of Inputs Used**: Industries are also classified based on the kind of raw material used such as agro-processing, textiles sector, rubber products, leather goods, etc.

(c) **Ownership**: Firms may be privately owned, publicly owned (by the government, central or state), jointly owned by the private and public sector, joint sector or cooperatively owned (cooperatives).

(d) **Size**: Firms may be large, small or medium based on their volume of output, sales or employment or on the basis of the amount of investments made. There are also micro or tiny enterprises that are smaller than even small firms.

The small sector is seen as important for two reasons. One, it is believed to generate more employment than the large-scale sector, which is likely to use more advanced and automated technologies and therefore may not generate enough employment. Second, the small scale sector allows for a larger number of entrepreneurs to emerge from less privileged backgrounds.

Based on experiences of industrialisation in different parts of the world, it is believed that when small firms specialising in one sector are geographically concentrated in specific locations, and linked to one another through production and learning, they tend to be equally if not more efficient than large scale enterprises. Such agglomerations of small firms are called industrial clusters.

## 5.3 Industrial Clusters

Industrial clusters are groups of firms in a defined geographic area that share common markets, technologies and skill requirements. The advantages of industrial clusters or districts was first observed by the famous economist Alfred Marshall in the 1920s when he tried to understand the working of clusters of small firms in the metal-working and textile regions in England. While the notion of an 'industrial district' was developed by Marshall, it was only after the success of small firms in Italy in the 1980s that it became popular. Policy-makers in developing countries like India began to promote them actively as they realized that there several such small firm clusters in the country.

The following are the chief characteristics of a successful cluster.

- geographical proximity of small and medium enterprises (SMEs)



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